

SiyaBusa ERP

Market Strategy Pricing

2026

Investor Documentation

Masaphokati Technologies (Pty) Ltd

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SiyaBusa ERP - Market Strategy & Pricing Model

Investor Briefing Document — January 2026

Document Classification: Confidential — Investment Memorandum

Prepared by: Masaphokati Technologies (Pty) Ltd

Date: January 29, 2026

Executive Summary

SiyaBusa ERP targets the **underserved middle market** — businesses that have outgrown basic accounting software but cannot justify enterprise-level pricing. We deliver a complete ERP experience at accessible price points, capturing the segment that traditional vendors overlook.

The Ask: 4-month runway funding to achieve first paying customer by May 2026

1. Market Positioning: Value Leadership

The Market Opportunity

Across industries, a consistent pattern emerges: premium incumbents leave gaps that value-focused alternatives can fill.

Market Segment	The Gap	Our Approach
Enterprise ERP	R50K-R200K/month	Unaffordable for 95% of SMEs
Mid-Market	Limited options	Overpriced, under-featured
SiyaBusa Target	R5M-R100M businesses	Enterprise features, SME pricing

Our Position

ERP MARKET POSITIONING			
\$\$	SAP Business One Oracle NetSuite Sage X3	R50K-R200K/month Enterprise clients only	
\$\$	Companies that have outgrown basics but can't justify R100K+	THE UNDERSERVED MIDDLE 95,000 SA businesses R5M - R100M revenue	
\$	★ SiyaBusa ERP ★ Industry-specific ERP	R1,500 - R15,000/month SME-friendly pricing	
\$	QuickBooks, Xero Pastel Partner	Accounting only Limited functionality	

What We Offer vs. What They Charge

Feature	SAP Business One	SiyaBusa ERP
Implementation	R500K - R2M	R15,000 - R50,000
Monthly License	R50K - R200K	R1,500 - R15,000
Modules Included	15-20 (pay per module)	Industry-relevant suite
Multi-tenant	Extra cost	Included
AI Assistant	Add-on (\$)	Included
SARS Integration	Extra	Included
Time to Deploy	6-18 months	2-4 weeks

Our Approach: *Customers get the modules relevant to their industry — a logistics company gets logistics tools, a manufacturer gets production tools. No paying for features you'll never use.*

2. Target Market: The Underserved Middle

Primary Target Segment

Profile: Growing South African SMEs with 10-100 employees

Characteristic	Details
Employee Count	10 - 100
Annual Revenue	R5M - R100M
Current Pain	Outgrown basic accounting software
Budget Reality	Cannot justify R100K+/month for ERP
Decision Maker	Owner, Finance Director, or Operations Manager

Industries We Serve (Industry-Specific Configurations)

Each customer receives modules tailored to their industry — not a generic one-size-fits-all solution.

Industry	What They Get	Unique Value
Manufacturing	Production, BOM, Inventory	Work orders, capacity planning
Distribution	Inventory, Logistics, Fleet	Multi-warehouse, route optimization
Construction	Project Costing, Inventory	Progress billing, job costing
Professional Services	Practice Management, CRM	Time billing, matter management
Healthcare	Patient Management, Inventory	Medical inventory, compliance
Agriculture	Farm Operations, Inventory	Crop tracking, input management
Property	Lease Management, Accounting	Tenant billing, maintenance

Market Size (South Africa)

Segment	Businesses	Addressable
SMEs (10-50 employees)	~150,000	75,000
Medium (51-200 employees)	~25,000	20,000
Total Addressable Market		95,000 businesses
Serviceable (first 3 years)		5,000 businesses

3. Pricing Model: Per-User SaaS Pricing

Core Principle: Every User Pays

We use **per-user, per-month pricing** — the industry standard for ERP/SaaS. No free tier. Every user on the platform contributes to covering our infrastructure costs.

Trial Period (NOT Free Tier)

Trial	Duration	What's Included
Free Trial	14 days	Full access, 3 users max
Extended Trial	30 days	For serious prospects, requires call

After trial: Convert to paid or data is archived. No indefinite free usage.

Per-User Pricing Structure

Standard Rate: R980 per user per month

This rate ensures each user covers their infrastructure cost + provides healthy margin.

Cost Per User Breakdown (Why R980 Works)

Cost Component	Per User/Month	Notes
AWS Infrastructure	R55	Multi-tenant, shared resources
Support allocation	R100	Helpdesk, tickets, training
Development/Updates	R150	Ongoing improvements
Overhead	R75	Admin, compliance, tools
Total Cost to Serve	R380	
Margin	R600 (61%)	Healthy SaaS margin
Final Price	R980/user	Covers cost + profit

Tier 1: Starter (5-15 users)

Component	Price
Per User	R980/user/month
Minimum users	5 users
Minimum Monthly	R4,900/month

What's Included
Industry-relevant modules (tailored to your business)
Core: Accounting, Inventory, CRM, HR
10GB storage per user
Email support (24hr response)
Standard reporting
Mobile access

Tier 2: Professional (10-50 users)

Component	Price
Per User	R980/user/month
Minimum users	10 users
Minimum Monthly	R9,800/month
Volume Discount	5% off (R931/user effective)

What's Included

Everything in Starter, plus:

25GB storage per user

Priority support (8hr response)

Advanced reporting & dashboards

API access

Custom fields

Dedicated onboarding

Tier 3: Enterprise (25+ users)

Component	Price
Per User	R980/user/month
Minimum users	25 users
Minimum Monthly	R24,500/month
Volume Discount	10% off (R882/user effective)

What's Included

Everything in Professional, plus:

Unlimited storage

Dedicated account manager

Phone support (4hr response)

Custom SLA

White-label option

On-premise deployment option

Custom development hours (10/month)

Pricing Comparison vs. Competition

Solution	Per User/Month	20 Users/Month	Notes
SAP Business One	R2,500 - R5,000	R50,000 - R100,000	+ R500K implementation
Oracle NetSuite	R1,500 - R3,000	R30,000 - R60,000	+ Platform fee
Sage X3	R1,000 - R2,000	R20,000 - R40,000	Limited modules
Sage 300	R800 - R1,200	R16,000 - R24,000	Basic ERP
SiyaBusa	R980	R19,600	Industry-tailored suite

Our Position:

- ****50-60% cheaper than SAP/Oracle**** (enterprise players)
- ****Competitive with Sage**** but with industry-specific depth
- ****Modules tailored to your business**** — pay for what you need

Implementation & Setup Fees (One-Time)

Tier	Setup Fee	What's Included
Starter	R7,500	Data migration, 4hr training
Professional	R25,000	Full onboarding, data migration, 16hr training
Enterprise	R75,000+	Custom implementation, change management, on-site

Add-On Modules (Optional)

Add-On	Monthly	Description
AI Assistant Pro	R500/month	Advanced NLP, predictive analytics
SARS eFiling Integration	R300/month	Direct submission, auto-reconciliation
Multi-Entity Consolidation	R1,000/month	Group reporting, intercompany
Advanced Manufacturing	R750/month	MRP, capacity planning
Fleet GPS Integration	R200/vehicle	Real-time tracking

4. Unit Economics

Revenue Per Customer (R980/User)

Scenario	Users	Per User	Monthly	Annual
Small business	8	R980	R7,840	R94,080
Growing SME	15	R980	R14,700	R176,400
Medium business	30	R931*	R27,930	R335,160
Enterprise	60	R882*	R52,920	R635,040

*Volume discounts: 5% for 10+ users, 10% for 25+ users

Target Average Customer Value: R10,000/month (~10-12 users)

Cost to Serve Per Customer (Based on R380/User Cost)

Cost Type	Per User	10 Users	Notes
AWS Infrastructure	R55	R550	Multi-tenant, shared
Support allocation	R100	R1,000	Helpdesk, tickets
Development/Updates	R150	R1,500	Ongoing improvements
Overhead	R75	R750	Admin, compliance
Total Cost to Serve	R380	R3,800	

Gross Margin

Metric	Value
Revenue (10 users @ R980)	R9,800/month
Cost to Serve (10 × R380)	R3,800/month
Gross Profit	R6,000/month
Gross Margin	61%

This margin ensures:

- ✓ Each user pays for themselves
- ✓ Healthy profit to fund growth
- ✓ Room for support & development

5. Marketing Budget & Strategy

Why Marketing Matters

We can't rely on organic growth alone. We need to **actively acquire customers** to hit first-customer target by May 2026.

Marketing Budget (4-Month Runway)

Channel	Monthly	4 Months	Purpose
LinkedIn Ads	R3,000	R12,000	Lead generation
Google Ads	R2,000	R8,000	Search intent capture
Content Creation	R1,500	R6,000	Blog, videos, case studies
Trade Shows/Events	R2,500	R10,000	1-2 events, networking
Referral Incentives	R1,000	R4,000	R500 per referred customer
PR/Media	R1,000	R4,000	Press releases, articles
Total Marketing	R11,000	R44,000	

Marketing Channels

Digital (Primary)

Channel	Strategy	Expected Leads
LinkedIn	Targeted ads to CFOs, MDs, IT Managers	50-100/month
Google Ads	"ERP software South Africa", "SAP alternative"	30-50/month
Content Marketing	Blog posts, LinkedIn articles, YouTube	20-30/month

Traditional (Secondary)

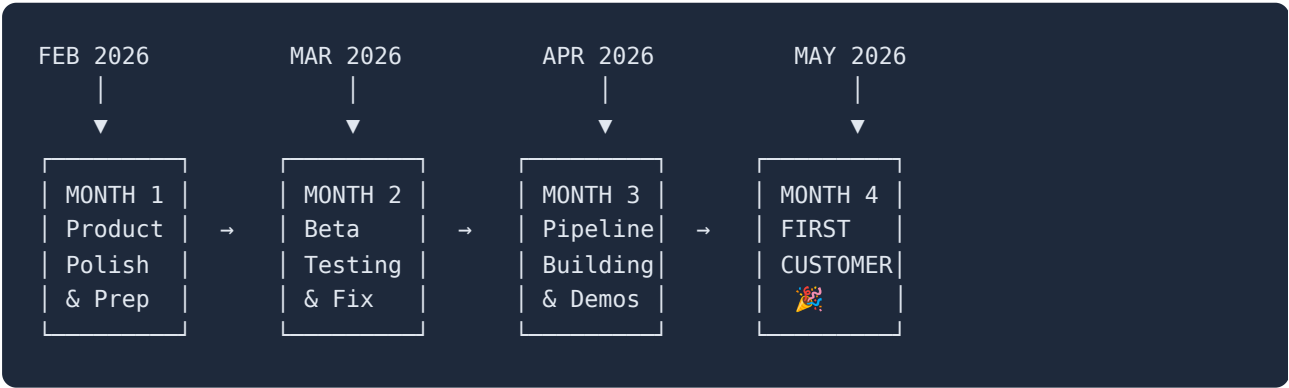
Channel	Strategy	Expected Leads
Referral Program	R500 cash per converted referral	5-10/month
Trade Shows	1-2 events (SAICA, Tech4Africa)	10-20/event
Cold Outreach	LinkedIn InMail, email campaigns	10-20/month

Customer Acquisition Cost (CAC) Target

Metric	Target
Marketing spend (4 months)	R44,000
Target customers (4 months)	3-5
CAC	R8,800 - R14,700
Customer Lifetime Value (LTV)	R120,000+ (2 year avg)
LTV:CAC Ratio	8:1 - 14:1 

6. The Ask: 4-Month Runway to First Customer

Timeline: February 2026 → May 2026



Monthly Cost Breakdown (REVISED)

Infrastructure Costs (AWS)

Component	Monthly Cost	Notes
ECS Fargate (Backend)	R1,200	t3.small equivalent
ECS Fargate (Frontend)	R600	Static hosting
RDS PostgreSQL	R1,800	db.t3.micro + storage
Application Load Balancer	R400	HTTPS termination
S3 Storage	R200	Document storage
CloudWatch / Monitoring	R150	Logs and alerts
Route 53 / DNS	R50	Domain management
Total Infrastructure	R4,400/month	~\$240/month

Operating Costs

Item	Monthly Cost	Notes
Infrastructure (AWS)	R4,400	As above
Domain & SSL	R100	siyabusaerp.co.za
Email (SendGrid)	R500	Paid tier for marketing
Development Tools	R500	GitHub, monitoring
Total Operating	R5,500/month	

Marketing Costs (NEW)

Item	Monthly Cost	Notes
LinkedIn Ads	R3,000	Lead generation
Google Ads	R2,000	Search capture
Content creation	R1,500	Blog, video
Events/networking	R2,500	Trade shows
Referral incentives	R1,000	Cash rewards
PR/Media	R1,000	Press releases
Total Marketing	R11,000/month	

Development & Operations Support

Ongoing technical support, product improvements, and business development activities.

Item	Monthly	Notes
Technical oversight & dev review	R15,000	Ongoing product quality
Mobile/Internet	R1,500	Business communications
Client meetings & demos	R3,000	On-site visits, presentations
Total Development/Ops	R19,500/month	

This covers hands-on technical guidance, code reviews, architecture decisions, and customer-facing activities.

Total 4-Month Runway Required

Category	Monthly	4 Months
Infrastructure (AWS + Domain)	R6,750	R27,000
Marketing	R8,875	R35,500
Development & Operations	R21,000	R84,000
Client Operations	R2,375	R9,500
Contingency	R11,000	R44,000
TOTAL REQUIRED	R50,000	R200,000

Ask: R200,000 (~\$11,000 USD) for 4-month runway with marketing

7. What the Investment Enables

Deliverables by May 2026

Milestone	Target Date	Success Metric
Product stabilization	Feb 15	Zero critical bugs
Marketing campaigns live	Feb 28	LinkedIn + Google Ads running
Beta partner onboarding	Mar 15	3-5 active beta users
Demo pipeline built	Mar 31	20+ qualified leads
First signed contract	Apr 30	1 paying customer
First revenue	May 31	R3,000+ MRR

What Investors Get

1. ****Early Access**** - Preview of product before public launch
2. ****No Testing Costs**** - Investors don't pay to evaluate; testing is on us
3. ****Proof of Concept**** - 4 months to prove market fit
4. ****Clear Milestones**** - Measurable progress weekly
5. ****Real Marketing**** - Paid acquisition, not just hoping for organic

8. Revenue Projections (Post-First Customer)

Conservative Scenario (R980/User Pricing)

Month	Customers	Avg Users	MRR	ARR Run Rate
May 2026	1	8	R7,840	R94,080
Jun 2026	2	10	R19,600	R235,200
Sep 2026	5	10	R49,000	R588,000
Dec 2026	10	12	R117,600	R1,411,200
Jun 2027	25	12	R294,000	R3,528,000
Dec 2027	50	15	R735,000	R8,820,000

Path to Profitability

Metric	Target
Monthly burn rate	R41,400
Break-even MRR	~R45,000 (5-6 customers @ 8 users)
Target achievement	Q3 2026
First profitable month	September 2026

Key Insight: At R980/user, we only need **5-6 small customers** (8 users each) to break even. At R199/user, we would have needed 25+ customers.

9. Why This Strategy Works

Expanding the Market, Not Stealing Share

"We're not competing for existing ERP customers. We're creating new ERP customers."

Our target isn't businesses currently using SAP. Our target is:

- QuickBooks users ready to graduate to ****real ERP****
- Pastel users who need ****multi-branch support****
- Excel-dependent businesses ready for ****a proper system****

Competitive Moat

Advantage	Description
Built for Africa	SARS integration, ZAR-first, local support
Multi-tenant from Day 1	Lower cost to serve each customer
AI-Native	Natural language queries, smart automation
Full Stack Ownership	No license dependencies, full control
Vertical Expertise	Industry modules built by industry experts

8. Investment Terms

Option A: Seed Investment

Term	Details
Amount	R150,000 - R500,000
Instrument	SAFE (Simple Agreement for Future Equity)
Valuation Cap	R5,000,000
Discount	20% to next round
Use of Funds	4-month runway + marketing

Option B: Angel Round

Term	Details
Amount	R500,000 - R2,000,000
Equity	10-20%
Pre-money Valuation	R5,000,000 - R10,000,000
Use of Funds	12-month runway + team + marketing

9. Contact & Next Steps

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Immediate Next Steps

1.  Schedule demo call
2.  Sign NDA (if required)
3.  Review product in action
4.  Due diligence questions
5.  Term sheet discussion

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